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(RIGHT) SHANKKAR AIYAR

people around the world, including the incredible team we have right here in India—we have more than 6,000 employees based in India. Not only is India an important market for Ford, it is also a global centre of excellence for our IT and accounting operations. We see Chennai as a globally competitive location where many key assets come together, like, it is one of India's best ports; a big city infrastructure and a service sector with plentiful of skilled labour.

And as we further develop the plan, I suggest that as leaders, we need to agree upon the role that manufacturing will play in our economies. Some communities have been dismayed to see entire industries disappear overnight. Others have been amazed to see how new factories spring up. For a while, people in some communities believed that manufacturing no longer mattered, believing that the post-industrial economy would be based on delivering services such as real estate and investment banking. Then came the financial meltdown of 2008 and communities around the world needed to revisit the hard questions around manufacturing.

Manufacturing is a team sport, a sport we can win or lose

as a community depending on how successfully we can create a competitive edge. Our manufacturers need access to global markets and competitive capital is critical. Legal and regulatory processes must be stable. And taxation must be globally competitive. To create a competitive playing field for manufacturing, governments also need to invest wisely. They need to be involved in building roads, ports and power grids infrastructure that manufacturers rely on but cannot build themselves. Arguably, governments also have a role to play in health care quality and productivity.

Another key component of being competitive in manufacturing is public investment in education. And it is easy to see that India gets a great return on its investment in education. At Ford, we have known for decades that India produces phenomenal engineers. Since 1965, Indian engineers have made huge contributions to our company. As we are sharing with community leaders everywhere we operate, this is the basic recipe for success in manufacturing.

Whatever be the ultimate answer, one thing is clear. Our technological solutions to these large-scale problems must be affordable and they must be part of a system solution that will only be developed through public-private partnerships.

What really intrigues and amazes me about India's potential is rooted in its people and especially the young people. They are growing up in an age that offers more opportunity. Each year, millions more gain access to the Internet. And with the ability to read multiple languages, even kids growing up in remote villages, far from the nearest library, have a universe of knowledge open to them. We see an incredible wave of young talent on India's horizon. And we want to open doors for them at Ford, to work together with our communities around the world, to truly serve by opening the highways to all mankind and to contribute to economic growth, energy independence and environmental sustainability.

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DISCUSSION

Q. How do you plan to manufacture globally?

A. Henry Ford's original vision was to participate in every country around the world. The talent and the knowledge that we have worldwide is incredible. So what we are doing is tapping into that global knowledge to benefit our customers with quality, productivity and technology. That is the reason we have been able to move so quickly.

Q. How are you going to deal with the political threat

to outsourcing?

A. With this business model, we are in the fabric of every country in which we operate. So we are never outsourcing and in every place where we operate, we are expanding the entire supply base. If you look at the automobile industry, for every job we create, there are another nine or 10 jobs that are associated with it—the dealers, the suppliers. Manufacturing is going to be very noble.

Q. How do you cut prices to

compete and not compromise on the quality?

A. I think the most important thing is to have a point of view about your brand. Information is ubiquitous. Everyone knows everything about the cars. That is why we are focused on the brand Ford. We have decided, it would be the best in its class, in quality, safety and design. So every consumer knows that when he is going to buy a Ford, he will get the car he wants, the size he wants.

Whether it is a truck or a sedan, it's going to be the best in class.

Q. Is it true that the race for high quality low-cost cars is not working out?

A. The plan we have been talking about at Ford is actually going to enhance our ability to make higher quality vehicles worldwide. We have dramatically simplified our product line. Everything about our designs can be tested and validated and I think it is going to make a substantial improvement.